Case No. 19-8005

United States Bankruptcy Appellate Panel of the Sixth Circuit

Dinsmore & Shohl LLP
Bingham Greenebaum Doll LLP
Fox Rothschild LLP
and Phoenix Management Services, LLC
Appellants,

v.

United Cumberland Bank
Appellee.

On Appeal from the United States Bankruptcy Court for the Western District of Kentucky. Originating Case No. 16-10407, Chapter 11, Hon. Joan A. Lloyd.

APPELLANTS' BRIEF

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July 31, 2019

Corporate Disclosure Statement

Pursuant to 6th Cir. R. 26.1, Appellants state that none of Dinsmore & Shohl LLP, Bingham Greenebaum Doll LLP, Fox Rothschild LLP, or Phoenix Management Services, LLC is a subsidiary or affiliate of a publicly owned corporation, and that no publicly owned corporation that is not a party to the appeal has a financial interest in the outcome.

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Statement Regarding Oral Argument

Appellants – three law firms and a professional financial advisor which were denied payment of their professional fees through what should have been the customary and regular use of a carve-out of certain collateral in a bankruptcy case – request that the Court hold oral argument in this appeal. The Appellants believe that the Court will be best served if the issues on appeal are subject to direct questioning by the panel given the significance of enforcing carve-outs.

Statement of Jurisdiction

This is an appeal by Appellants Dinsmore & Shohl LLP ("Dinsmore"), Bingham Greenebaum Doll LLP ("BGD"), Fox Rothschild LLP ("Fox"), and Phoenix Management Services, LLC ("Phoenix" collectively, the "Professionals") from the Memorandum Opinion and Order [Docket No. 424] (the "Opinion") entered on March 13, 2019 by the United States Bankruptcy Court for the Western District of Kentucky (the "Bankruptcy Court"). The Opinion constitutes a final judgment. The Bankruptcy Court had jurisdiction over this matter under 28 U.S.C. §§ 157 and 1334, and the matter is a core proceeding under 28 U.S.C. § 157(b). This Court has appellate jurisdiction over this matter pursuant to 28 U.S.C. § 158(a)(1).

Statement of the Issues

Should UCB be compelled to turn over the allowed Professionals' fees pursuant to the terms of the Carve-Out contained in the Interim Cash Collateral Orders and the Amended Plan of Reorganization?

Statement of the Case

United Cumberland Bank ("UCB") admits that it has already collected $141,977.37 from a reorganized, and now insolvent, debtor. Nevertheless, UCB

refuses to honor the terms of a carve-out ("Carve-Out") of the proceeds of its collateral, which were reserved for the Professionals' exclusive benefit.

On May 2, 2016, Chieftain Steel, LLC filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code. On August 4, 2016, the Bankruptcy Court entered the Second Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender [Docket No. 101] (the "Second Interim Cash Collateral Order"). The Second Interim Cash Collateral Order requires UCB to set aside $20,000 per month for Dinsmore and $20,000 per month for the other Professionals. Its operative paragraph provides that "[p]ayment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out." (Second Interim Cash Collateral Order § 9(a)). "The Debtor shall pay the Carve-Out as funds permit without causing an overdraft." *Id.*

On April 17, 2017 the Court entered the Final Cash Collateral Order which included the Carve-Out up to any amount approved by the Bankruptcy Court. [Docket No. 246]. Each of the Cash Collateral Orders was negotiated, and agreed to, by UCB.

On April 18, 2017, the Debtors filed the Second Amended Plan of Reorganization [Docket No. 249-1] (the "Plan"). The Plan recognizes the Carve-Out and states that the Professionals' fees will be paid in full when awarded by the Bankruptcy Court. Plan § 3.05 provides that any award "shall be paid in full in such amounts as are Allowed by an Order of the Bankruptcy Court, first, from any Carve-Out amounts held in escrow by an Entity asserting such Professional Fee Claim and, second, if Carve-Out amounts held by the Entity are exhausted, the Professional Fee Claim will be payable as soon as practicable."

Currently, $180,646.47 remains unpaid from Dinsmore's judicially approved fees. Of this amount, $105,717.00 should be paid by UCB under the terms of the Carve-Out. In the meantime, UCB collected at least $141,977.37 in proceeds of its collateral. At the same time, UCB has ignored the Carve-Out it agreed to with the Professionals.

Standard of Review

The Bankruptcy Court's legal determinations are reviewed de novo. *Darrohn v. Hildebrand (In re Darrohn)*, 615 F.3d 470, 474 (6th Cir. 2010). The Bankruptcy Court's interpretations of the Cash Collateral Orders, the Plan, and the Fee Applications are reviewed for abuse of discretion. *Licking River Mining*, 911 F.3d

at 810 (citing *Harper v. The Oversight Comm. (In re Conoco, Inc.)*, 855 F.3d 703, 714 (6th Cir. 2017)). However, "[t]o the extent the appeal involves review of the entire contract, including statutory construction of provisions of the Bankruptcy Code as applied to the contract, that review is de novo." *Id.*

Summary of Argument

The Sixth Circuit expressly ruled in *Licking River* that "the carve-out funds pursuant to court order are earmarked for the exclusive benefit of the court-appointed chapter 11 professionals." 911 F.3d at 812. The Bankruptcy Court's Opinion narrowed that holding, determining that the Professionals did not include certain magic words that would enable their Carve-Out to survive Plan confirmation or the subsequent chapter 7 filing.

Argument

The Bankruptcy Court set a dangerous precedent in denying the Professionals' Carve-Out Motion [Docket No. 424] which, if not reversed, will lead to many more disputes between professionals and creditors to companies in bankruptcy, compromising the effective administration of the bankruptcy process. Carve out agreements are required for an effective bankruptcy system. As the Bankruptcy Appellate Panel for the First Circuit explained, a "carve-out agreement" is

generally understood to be an agreement by a party secured by all or some of the assets of the estate to allow some portion of its lien proceeds to be paid to others, i.e., to carve out of its lien position. *Costa v. Robotic Vision Sys. (In re Robotic Vision Sys.)*, 367 B.R. 232, 237 n.23 (B.A.P. 1st Cir. 2007) (internal quotes and citations omitted).

I. The Carve-Out Survives Plan Confirmation in the Chapter 7 Proceeding

UCB consented to the debtors' use of cash collateral after negotiating the interim and final Cash Collateral Orders. These orders are "a kind of consent decree construed for enforcement purposes as a contract." *Ohio Farmers Ins. Co. v. Hughes-Bechtol, Inc. (In re Hughes-Bechtol, Inc.)*, 225 F.3d 659 (table), 2000 WL 1091509, at *3 (6th Cir. 2000) (citation omitted) (internal quotation marks omitted).

Section 1141 of the Bankruptcy Code provides that a plan and the order confirming a plan bind the debtor and the debtor's creditors. When a reorganization plan is "approved by the court, it becomes final, is binding upon the debtor, the security holders, and all other interested parties, and must be enforced as written." *Denver & R. G. W. R. Co. v. Goldman, Sachs & Co.*, 212 F.2d 627, 630 (10th Cir.

1954). In Kentucky, every word in a contract "must be taken to have been used for a purpose, and no word should be rejected as mere surplusage if the court can discover any reasonable purpose thereof which can be gathered from the whole instrument." *Siler v. White Star Coal Co.*, 190 Ky. 7, 12, 226 S.W. 102, 104 (1920).

The Carve-Out must survive confirmation of the Plan in order to give § 3.05 any effect at all. To hold that the Carve-Outs do not survive Plan confirmation would render the very provisions which refer to the Carve-Outs meaningless, or a "mere surplusage." Accordingly, consistent with black letter contract law, the Carve-Out is not extinguished by confirmation.

Conclusion

The Bankruptcy Court's Opinion and Order should be reversed.

Respectfully submitted,

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July 31, 2019

Certificate of Compliance

This brief of appellant complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 1,093 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g). It complies with the typeface requirement of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirement of Fed. R. Bankr. P. 8015(a)(6) because it was prepared in a proportionally spaced typeface, Times New Roman at 14-point, with case names in italics.

Respectfully submitted,

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July 31, 2019

Certificate of Service

I certify that on July 31, 2019 I filed this brief of appellant with the Clerk of the Bankruptcy Appellate Panel of the Sixth Circuit through the court's electronic filing system, which will send notice of the filing to all counsel of record.

Respectfully submitted,

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July 31, 2019